

BUSINESS SUMMARY REPORT

Superstore Sales Analysis | Maincrafts Technology | Esvanth | Task 2

This report analyses 9,994 sales transactions across four U.S. regions and 793 unique customers (FY 2014–2017), using a relational Orders–Customers structure joined via SQL. Total revenue stood at \$2,297,201 with a net profit of \$286,397, reflecting a 12.47% profit margin. Analysis was conducted using MySQL, Microsoft Excel, and Power BI to surface actionable insights for management decision-making.

Business Performance Analysis

1. Which Region Generates the Highest Revenue?

Answer: West — \$764,634 (33.3% of total sales)

West leads by a wide margin, followed by East (\$611,734, 26.6%), Central (\$518,800, 22.6%), and South (\$402,032, 17.5%). West generates almost double the revenue of South, signalling an imbalance that warrants targeted regional investment. This finding was verified consistently across the SQL JOIN query, the Excel pivot table, and the Power BI bar chart, giving high confidence in its accuracy.

2. Which Category Has the Highest Profit Margin?

Answer: Technology — 17.40% margin (\$145,455 profit)

Technology narrowly leads Office Supplies (17.04%, \$122,491). Furniture is critically underperforming at just 2.49% margin despite \$741,720 in sales — generating only \$18,451 profit, indicating excessive discounting or high costs in that category. The gap between Furniture and the other two categories is large enough that it cannot be explained by normal variation alone.

3. Are Discounts Reducing Profitability?

Answer: Yes — order-level Profit Margin data confirms heavy discounting erodes profit

The Profit Margin column calculated for every order ($\text{Profit} \div \text{Sales}$) shows margins swing from healthy positive values (16–47%) to steep losses (–40% to –180%) on heavily discounted orders. This mirrors Task 1's finding that discounts beyond 20–30% routinely push individual orders into a net loss. The pattern is most visible in the Furniture category, which also carries the lowest overall profit margin.

4. Which Customer Segment Is Most Valuable?

Answer: Consumer — \$1,161,401 (50.6% of total sales)

Consumer is the dominant segment by volume, followed by Corporate at \$706,147 (30.7%) and Home Office at \$429,653 (18.7%). Consumer leads in every region, but Corporate and Home Office together still represent close to half of all revenue, making them meaningful secondary segments rather than minor contributors.

5. Is There a Seasonal Sales Trend?

Answer: Yes — sales consistently peak in Q4

Monthly analysis shows a clear seasonal pattern: November is strongest (\$352,461), followed by December (\$325,294) and September (\$307,650). February is weakest (\$59,751). This Q4-heavy pattern is consistent across all four years (2014–2017) in the dataset, confirming it is a genuine recurring trend rather than a one-off spike.

1. KPI Overview

Metric	Value
Total Sales	\$2,297,201
Total Profit	\$286,397
Total Orders	9,994
Total Unique Customers	793
Average Order Value (AOV)	\$229.86
Overall Profit Margin	12.47%

2. Regional Performance

- West: \$764,634 — 33.3% | Highest
- East: \$611,734 — 26.6%
- Central: \$518,800 — 22.6%
- South: \$402,032 — 17.5% | Lowest — growth opportunity

Within the West, the Consumer segment alone contributes \$444,736 — more than the entire South region's total sales, highlighting a strong base but also a concentration risk.

3. Category Performance

- Technology: 17.40% margin | \$145,455 profit | Highest margin
- Office Supplies: 17.04% margin | \$122,491 profit
- Furniture: 2.49% margin | \$18,451 profit | **Critical — urgent review**

Furniture profit is strongest in the West (\$7,334) and weakest in the East (\$2,286), suggesting cost or discount issues vary by region rather than being uniform nationwide.

4. Customer Analysis — Top 10 Customers by Revenue

#	Customer	Total Revenue
1	Sean Miller	\$25,043.05
2	Tamara Chand	\$19,052.22
3	Raymond Buch	\$15,117.34
4	Tom Ashbrook	\$14,595.62
5	Adrian Barton	\$14,473.57
6	Ken Lonsdale	\$14,175.23
7	Sanjit Chand	\$14,142.33

8	Hunter Lopez	\$12,873.30
9	Sanjit Engle	\$12,209.44
10	Christopher Conant	\$12,129.07
	Total (Top 10)	\$153,811.17

The Top 10 customers together contribute \$153,811.17 in revenue — about 6.7% of total sales from just 10 individuals. Segment split across the full customer base: Consumer 50.6%, Corporate 30.7%, Home Office 18.7% of total sales.

Strategic Recommendations

1. Launch a Targeted South Region Growth Plan

The South region contributes only 17.5% of total revenue, making it the lowest-performing region. Management should implement targeted marketing campaigns, promotional offers, and customer engagement initiatives to improve sales performance. Focus should also be placed on identifying underperforming customer segments and expanding market reach. These actions can help reduce the gap between South and the higher-performing regions.

2. Conduct a Furniture Profitability Review

Furniture generated \$741,720 in sales but achieved a profit margin of only 2.49%, making it the least profitable category. Management should review pricing strategies, discount policies, supplier contracts, and logistics costs to identify areas of margin erosion. Improving operational efficiency and cost control can significantly enhance profitability. The goal should be to move Furniture margins closer to the 17% achieved by Technology and Office Supplies.

3. Strengthen Planning for Seasonal Demand Peaks

Sales data shows that September, November, and December are the strongest-performing months of the year. Inventory levels, staffing requirements, and promotional campaigns should be planned well in advance of these peak periods. Effective preparation can prevent stock shortages and improve customer satisfaction. This approach will help maximise revenue during high-demand seasons.

4. Establish a Key Customer Retention Program

The Top 10 customers generate \$153,811 in revenue, representing 6.7% of total sales, with Sean Miller contributing \$25,043. To protect this valuable customer base, the company should introduce a tiered key account programme with personalised support and loyalty rewards. Regular engagement and tailored recommendations can strengthen customer relationships and improve retention. This strategy will help maintain revenue stability and support long-term business growth.

5. Develop Segment-Focused Growth Strategies

Corporate and Home Office customers account for a substantial portion of total sales revenue. Creating tailored marketing campaigns and customer-specific promotions can help address their unique needs. Dedicated account management and targeted product offerings may increase customer engagement. This strategy can drive additional growth while maintaining the strength of the Consumer segment.

Conclusion

This analysis utilised SQL and Power BI to evaluate business performance across sales, profitability, customers, regions, and product categories. The results identified the West region and Technology category as key strengths, while the South region and Furniture category present the greatest opportunities for improvement. Seasonal sales peaks during Q4 and the concentration of revenue among top customers highlight important areas for strategic attention. By implementing the recommended actions, the organisation can enhance profitability, strengthen customer relationships, and achieve more balanced and sustainable growth.